

The More Demonized It Is,

The More It Should Be Scrutinized and Deeply Explored

— *Rewriting the Narrative of Chinese Politics and the AI Era from the Perspective of Civilizational Governance*

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INTRODUCTION

Scrutiny and Deep Exploration as a Method

I grew up in Taiwan's Chinese-language education system. That education taught me: capitalism is legitimate, socialism is tyranny. The Republic of China is Free China, and Communist China is an evil empire. I once believed it.

Later, I saw the world. I got married and had children in China, lived in America, worked in Britain, and write in Boston. I personally experienced different systems and saw things the textbooks never mentioned. I discovered a simple but deliberately hidden fact:

The more demonized something is, the more it should be scrutinized and deeply explored.

Why?

Because demonization is the cheapest form of intellectual blockade. It requires no evidence, no logic — only a label: “evil,” “tyranny,” “authoritarian,” “empire.” Once the label is applied, you no longer need to think. You don’t need to understand the demonized object, because it is already “evil.”

But governance is not a label. Civilization is not a label. Five thousand years of history not a label.

This book is not a defense of any ideology. It is a defense of a more fundamental principle: **You should not let anyone else decide what is right for you.**

You should scrutinize and explore it yourself.

Because what is demonized is usually not the most dangerous. The most dangerous are those packaged as “self-evident,” making you feel no need to scrutinize them — the naturalization of capitalism, the finalization of Western democracy, the end-of-history thesis.

This book is a record of “scrutiny and deep exploration.”

I scrutinized the underlying logic of China’s five-thousand-year governance history and discovered it is not “despotism,” “feudalism,” or “authoritarianism” — but “how a civilization sustains itself.”

I scrutinized the essence of dynastic cycle laws and found they are not “China’s failure” — but civilization’s self-repair mechanism that forces a reset when resources become imbalanced.

I scrutinized the internal logic of Chinese-style modernization and found it is not “catching up with the West” — but a five-thousand-year civilization insisting on using itself as the reference system in the modernization process.

I scrutinized the underlying logic of China’s AI governance and found it is not “surveillance” — but digital-era governance that balances development and security in service of civilizational continuity.

This book is not to prove which system is right. It is to prove: **You should not let anyone else decide what is right for you.**

When you have personally scrutinized, deeply explored, and experienced different systems, you will discover — who is telling the truth and who is teaching you “only I am



right.”

The more demonized something is, the more it should be scrutinized and deeply explored.

This is the methodology of this book. It is also the only reason I wrote it.



PART ONE • TWO SYSTEMS OF GOVERNANCE, TWO WORLDS

Why “East Rising, West Declining” Is Not a Slogan, But a Structural Reality

Chapter 1 China Is Not a Nation-State, It Is a Civilization

Western political science, from its birth, has taken the “nation-state” as the basic unit of analysis. From Machiavelli’s *The Prince* to Hobbes’s *Leviathan* to Weber’s “Politics as a Vocation” — the question Western political science always asks is: “What is the state? How should the state operate?”

But China is not a nation-state. China is a civilization carried in the form of a state.

This is the first key to understanding Chinese governance. Without this key, what you see is only a “non-Western” political system — its decision-making differs from Western parliamentary systems, its legitimacy source differs from Western electoral systems, its power operation differs from Western checks-and-balances systems. You will then measure it by Western standards: it is “authoritarian,” it is “undemocratic,” it is “backward.”

But if you use another key — “civilization” — to understand China, you will see something completely different.

You will see: the true subject of Chinese governance has never been the “regime,” but “civilization.” Regimes can change, institutions can transform, dynasties can rise and fall — but civilization must continue.

The Zhou replacing the Shang was not barbaric conquest of civilization, but civilization changing its carrier. The fall of Qin and rise of Han was not a rupture of civilization, but civilization adjusting its carrier. The Ming–Qing transition was not China being conquered, but Chinese civilization absorbing the vitality of nomadic peoples and continuing to evolve. The end of imperial rule in 1911 and the founding of the Republic in 1949 were not the end of civilization, but civilization seeking a new modern carrier.

This is why Chinese dynastic history cannot be explained by Western “regime change history.” When Western regimes change, civilization often changes too — after the collapse of the Roman Empire, Europe entered the “Dark Ages,” with civilization interrupted for centuries. But when Chinese dynasties changed, civilization did not break. Writing remained unchanged, classics remained unchanged, the underlying logic of governance remained unchanged.

This is the fundamental difference between “civilizational governance” and “state governance.”

State governance asks: “Who rules?” Civilizational governance asks: “How does civilization continue?”

The time scale of state governance is the “election cycle” or “regime lifespan.” The time scale of civilizational governance is “millennia.”

The legitimacy of state governance comes from “procedural legitimacy” or “checks and balances of power.” The legitimacy of civilizational governance comes from “whether civilization is effectively continued” — when a regime loses this ability, civilization changes its carrier, a process Chinese call “revolution.”

China is not a nation–state. China is a civilization carried in the form of a state.

Only when you understand this can you begin to understand everything about China.

Chapter 2 Western Governance: The History of Power and Capital's Game

If the essence of Chinese governance is “how civilization sustains itself,” then what is the essence of Western governance?

The answer is simple: the essence of Western governance is “the game between power and capital.”

From the late Middle Ages, Europe embarked on a path completely different from China. In China, power (the court) always tried to suppress capital (landlords, merchants) to prevent it from forming independent political forces. But in Europe, capital gradually gained independent political status — city-republics, parliamentary systems, commercial banks, chartered companies.

Capital was no longer an object that power could suppress; capital became a force parallel to power.

This “power–capital” game structure shaped Western modernity: parliamentary systems are essentially venues for power and capital to negotiate; constitutional systems are essentially contracts defining boundaries between power and capital; market economies are essentially spaces for capital to operate autonomously; legal systems are essentially rules jointly recognized by power and capital.

This structure created enormous economic vitality. Capital's drive for profit propelled the Industrial Revolution, technological innovation, and global trade. Power's checks on capital prevented unlimited expansion of capital. Capital's checks on power prevented unlimited expansion of power.

This structure also created modern democratic systems. Elections did not happen because rulers suddenly became “democratic” — but because capital demanded participation in decision-making, because capital did not want to be arbitrarily taxed, confiscated, or regulated by power.

But this structure has two fundamental flaws.

First flaw: Capital's short-termism disconnects from civilization's long-term needs.

Capital pursues “maximum shareholder returns.” Its time scale is quarterly (financial reports), annual (dividends), or investment cycles (3–5 years). But civilizational



continuity requires scales of centuries and millennia. Climate change, resource sustainability, intergenerational equity — these issues do not exist on capital's time scale because they do not appear in the next quarter's financial report.

Therefore, Western governance becomes paralyzed when facing long-term problems — because the game between power and capital can never produce decisions that transcend capital's short-term interests.

Second flaw: Capital devours the social foundation on which it depends.

Capital needs society to function — it needs labor, consumers, infrastructure, legal systems. But capital's instinct is "minimize costs, maximize profits," which means constantly compresses labor costs, cuts social spending, evades taxes, and externalizes environmental costs.

In the short term, this increases profits. In the long term, it erodes the social foundation on which it depends. When society splits to a certain extent and inequality reaches extreme levels, society collapses — and capital collapses with it.

Western governance structures have no built-in mechanisms to prevent this self-devouring. Because capital is an independent center of power, power cannot effectively suppress capital. Capital uses its power (political donations, media control, lobbying) to block any changes that threaten its profits.

This is the inherent contradiction of the Western "power-capital" game structure: in stable periods, it produces checks and balances. In periods of change, it produces paralysis. In periods of crisis, it produces self-devouring.

This is the structural root of "Western decline" — not the failure of any political party, not the mistake of any policy, but the power-capital game structure losing its ability to adapt in the face of 21st-century technological revolution and civilizational challenges.

Chapter 3 Chinese Governance: The Integrated Structure of Civilization and Power

If Western governance is the "game between power and capital," then Chinese governance is the "integration of civilization and power."



In Chinese governance logic, power (regime, court) is not a party in a game with capital, but the guardian of civilization. Capital (landlords, merchants, enterprises) is a tool of civilization, not its creator.

The formation of this structure is not because Chinese rulers were particularly “despotic” — but because Chinese historical experience taught the Chinese: **once capital becomes an independent political force, civilization will collapse.**

Why?

Because capital’s instinct is “resource concentration.” Capital pursues profit, which inevitably leads to wealth concentrating in the hands of a few. When wealth concentrates to a certain degree, it transforms into power concentration — capitalists use wealth to influence politics, control media, and change rules.

When capital controls politics, it gains institutionalized resource concentration power. Land annexation intensifies, tax burdens are shifted to vulnerable groups, opportunity monopolies solidify classes, and social mobility stagnates.

Then civilization becomes imbalanced. Large populations are excluded from resource distribution, social tensions accumulate to an unbearable critical point, and ultimately can only be resolved through violent “overthrow and restart.”

This process is what the Chinese call the “dynastic cycle.” It is not China’s failure, but civilization’s forced reset mechanism when facing “capital independence.” Each reset eliminates the forces that caused excessive resource concentration, allowing civilization to start again from a relatively balanced point.

This is the most unique wisdom of Chinese governance: **It does not rely on capital to create civilization; it uses power to protect civilization from being devoured by capital.**

So when you look at Chinese history, you see a dynamic completely different from the West: Emperor Wu of Han’s salt and iron monopoly — not to increase revenue, but to prevent merchants from controlling strategic materials; the Tang equal-field system — not for fair distribution, but to prevent land annexation from causing peasants to become displaced; Ming sea bans — not because of isolationism, but to prevent massive wealth from overseas trade from transforming into forces challenging the

regime; Qing official supervision of commerce — not opposition to the market, but to ensure capital operates under state supervision rather than controlling the state.

These policies, in Western economic narratives, are described as “anti-market” and “hindering development.” But from the perspective of “civilizational governance,” they are **necessary mechanisms to prevent civilization’s self-destruction**.

This is why the essence of Chinese governance is the “integration of civilization and power” — power is not a party in a game with capital; power is the guardian of civilization. When capital’s interests align with civilization’s interests, capital is allowed to develop. When capital’s interests threaten civilization’s continuity, power suppresses capital.

This is logic Western governance cannot understand. Because in the West, capital is already an independent political force, and power cannot suppress capital — it can only try to check it in the game. But checks and balances are not suppression — capital can still continue concentrating resources within the checks-and-balances structure until society collapses.

Chapter 4 Why “East Rising, West Declining” Is Not a Slogan, But a Structural Reality

Now we can answer a frequently asked question: Why “East Rising, West Declining”?

It is not because Chinese people are more hardworking (though hard work matters). It is not because Chinese people are smarter (though intelligence matters). It is not because the Chinese government has more money (though money matters).

The fundamental reason for “East Rising, West Declining” is **structural** — the two governance logics demonstrate completely different adaptive capacities when facing 21st-century technological revolution and civilizational challenges.

Dimension	West (Power–Capital Game)	China (Civilization–Power Integration)
Decision Speed	Slow — capital and power check and delay each other	Fast — whatever civilization needs, power does it

Dimension	West (Power–Capital Game)	China (Civilization–Power Integration)
Long-term Planning	Impossible — capital’s quarterly reports destroy long-term perspective	Built-in — civilization’s millennial scale is itself the planning unit
Crisis Response	Paralysis — in crisis, power and capital act separately	Mobilization — in crisis, the entire system unifies command and responds quickly
Technology Governance	Regulate first, develop later — use old structures to restrict new technology	Balance development and security — adjust in practice, do not stop eating for fear of choking
Inequality Control	Impossible — capital’s power prevents any redistribution	Built-in — “governing the world and benefiting the people” is a necessary condition for civilizational continuity
Civilizational Perspective	Non-existent — no “civilization” parameter in the governance framework	Core — the sole purpose of governance is civilizational continuity

When you see this table, you will understand: “East Rising, West Declining” is not China’s victory, but the **stage-by-stage transcendence of “civilizational governance” over “capital governance.”**

Western governance was effective in the industrial era — because technological change was relatively slow, and the power-capital game had enough time to reach compromises. But in the AI era, the speed of technological change has surpassed the speed of the power-capital game. While you are still discussing “how to regulate,” technology has already changed the social structure. While you are still deciding “who is responsible,” the problem has become irreversible.

Chinese governance shows structural advantages in the AI era — because the logic of civilizational continuity is naturally “long-term,” “systematic,” and “holistic.” It will not be kidnapped by capital’s short-term interests, will not be paralyzed by power’s internal friction, and will not be disrupted by rapid technological iteration.

This is not because China is “better” than the West. It is because the governance wisdom accumulated over five thousand years in China — governing the world and benefiting the people, being vigilant in peace and danger, reforming and changing — happens to be exactly what the AI era needs.

Chapter 5 “The More Demonized It Is, The More It Should Be Scrutinized and Deeply Explored”

Now let us return to the core proposition of this book.

Why is Chinese governance demonized so severely? Why have Western media and political elites spent decades repeatedly telling the world that China is “authoritarian,” “despotic,” and “evil”?

Because demonization is the most effective form of mind control. If a Westerner taught from childhood that “China is evil,” he will never ask: “Why can an evil country lift 1.4 billion people out of poverty? Why can an evil country build the world’s largest high-speed rail network? Why can an evil country keep pace with the United States in the global AI race?”

He will not ask. Because demonization replaces thinking.

But those who have truly scrutinized and deeply explored — those who have been to China, lived there, worked there, studied there — they see something completely different. They see a rapidly changing society, a government striving to solve complex problems, a civilization seeking its own path of modernization.

They will not say China is “perfect.” China has problems — many problems: local government debt, environmental challenges, population aging, social inequality. But these problems are not problems of “authoritarianism,” but “complex challenges that a super-large civilization inevitably faces in the process of rapid modernization.”

Those who demonize China never ask a more basic question: **If China is truly “evil,” how could it have continued for five thousand years?**

A governance system that cannot sustain civilization cannot last five thousand years. Chinese civilization is the only ancient civilization that has never been interrupted. This is not accidental; it is the most powerful evidence of governance effectiveness.

Those who demonize China also never ask another question: **If the West is truly “legitimate,” why is it declining?**



A governance system that cannot sustain civilization cannot last forever. The decline of Western civilization is not due to external enemies but internal structural imbalance — the power–capital game has reached its end and can no longer produce decisions that adapt to 21st-century challenges.

“East Rising, West Declining” is a fact, not a slogan. It does not need to be proven — it is happening.

The purpose of this book is to allow those willing to scrutinize and deeply explore to see the reasons behind this fact.



Chapter 6 The Structure and Writing Style of This Book

This book is divided into five parts.

Part One is the methodological foundation. It explains why “civilizational governance” is the correct framework for understanding China, why “power–capital game” is the correct framework for understanding the West, and why “East Rising, West Declining” is structural rather than cyclical.

Part Two unfolds from a historical perspective. It traces the formation of China’s governance genes — from the Zhou–Qin transformation to the Han–Tang golden age to Ming–Qing involution — explaining how “civilizational governance” continuously experimented, adjusted, and evolved over five thousand years of history.

Part Three focuses on contemporary transitions. It analyzes the advantages of the Western “power–capital” game in the industrial era and its failure in the AI era, the transformation of China from “catching up” to “leading,” and the logic of demonization.

Part Four looks to the future. It discusses governance challenges in the AI era, why China has structural advantages in the AI era, and whether “civilizational governance” can continue in the digital age.

Part Five is the conclusion. It returns to the starting point of the entire book — scrutiny and deep exploration as a method, a responsibility, and a life attitude.

The writing style of each chapter is the same: first pose a demonized question, then scrutinize it, deeply explore it, and finally present an answer completely different from

textbooks.

This is not a book defending China. It is a book defending “scrutiny and deep exploration.” It tries to prove: when you personally scrutinize and deeply explore, you will find the world is far more complex than what textbooks write — and this complexity is the truth.

The more demonized something is, the more it should be scrutinized and deeply explored.



Chapter 6.5 GL Framework: The True Source of Governance Legitimacy

So far, we have discussed the differences between civilizational governance and capital governance. But we still lack a more fundamental question:

How does a governance system ultimately prove its legitimacy?

Western political science’s answer to this question has long revolved around “procedural legitimacy.”

There are elections, so it is legitimate. There is parliament, so it is legitimate. There is judicial independence, so it is legitimate. There is media freedom, so it is legitimate.

But the AI era exposes a harsh fact: **Procedural legitimacy does not equal governance legitimacy.**

Procedures can be perfect, but delivery can still fail.

You can have elections. People still cannot receive subsidies.

You can have parliament. Infrastructure can still collapse.

You can have judiciary. Administrative systems can still fail.

This is the blind spot of traditional governance theory.

Governance is not an abstract concept. Governance is a **delivery system**.

This is why I propose the **GL Framework (Governance Legitimacy Framework)**.

The First Layer of the GL Framework: Legibility (Visibility)

Can the system see the real world?

A government that cannot answer the following questions has low legibility:

- Who truly needs help?
- Where are resources flowing?
- Where are policies failing?
- Where are the bottlenecks occurring?

If it cannot see, it cannot govern.

The first step in any governance collapse is the system losing visibility of reality.

The Second Layer of the GL Framework: Delivery (Delivery Verification)

Are policies actually delivered?

This is the most important yet most often ignored question in the AI era.

Governments often comfort themselves with the following indicators:

- How many meetings were completed
- How many reports were completed
- How many processes were completed
- How many KPIs were completed

But none of these equal delivery.

Process completion does not mean result completion.

The real question is only one:

Did the people receive the service?

The Third Layer of the GL Framework: Legitimacy (Governance Legitimacy)

The essence of governance legitimacy is not how power is obtained, but **whether power effectively fulfills its responsibilities**.

This means:

- Elections are not the source of legitimacy.



- Ideology is not the source of legitimacy.
- Institutional form is not the source of legitimacy.

The true source is:

Visible truth + Verifiable delivery = Governance legitimacy

This is the core formula of the GL Framework.

A governance system can be democratic or non-democratic. It can be parliamentary non-parliamentary.

But as long as it cannot continuously deliver public value, it will eventually lose legitimacy.

This is why the governance crisis of the 21st century is essentially neither a democracy crisis nor an authoritarian crisis.

It is: **Delivery Crisis.**

PART TWO · THE ORIGINS OF CIVILIZATION

How China's Governance Genes Formed from Xia, Shang, Zhou to Qin and Han

Chapter 7 Exploring the Origins of Chinese Civilization: “Stars All Over the Sky” and “Diverse Unity”

Before discussing dynastic history, we must first answer a more fundamental question: What is “Chinese civilization”? When did it begin? How was it formed?

These questions were once answered by myths; now they are answered by archaeology.



The Chinese Civilization Exploration Project is China's largest archaeological research project in the past twenty years. Its conclusions have changed our understanding of Chinese history: the origin of Chinese civilization is not "unitary" — not spreading from one center to the whole country — but "diverse." Before the Xia, Shang, and Zhou, multiple regional civilizations existed across the Chinese land: Liangzhu (lower Yangtze), Hongshan (Liao River basin), Yangshao (middle Yellow River), Longshan (Shandong), and Sanxingdui (Sichuan). These civilizations developed independently, each with its own characteristics and achievements.

Archaeologist Su Bingqi described this pattern as "stars all over the sky" — not one lamp illuminating the whole country, but countless stars shining individually.

But these stars did not remain scattered forever. Around 2000 BCE, an integration process began. Different regional civilizations started interacting, exchanging, competing, and merging. Eventually, a core formed in the middle Yellow River — the Xia, Shang, and Zhou dynasties were established on this core.

"Diverse unity" is the gene of Chinese civilization. It is not "one center eliminating other centers," but "multiple centers merging into a larger community." This community was not established by military conquest but by cultural integration. The institutions, writing, rituals, and beliefs of the Shang and Zhou absorbed elements from different regional civilizations and integrated them into a "sharable" civilizational system.

This is the starting point of "civilizational governance": from the very beginning, it was more inclusive than "state governance." Because civilizational governance cares not about "who rules whom," but "how to let different people live within the same civilizational framework."

Chapter 8 Xia, Shang, Zhou: The Earliest Political Community

Experiments

The Xia, Shang, and Zhou were China's earliest "state" forms, but their governance logic is completely different from today's "state."

The existence of Xia is still debated. But even if Xia is legendary, it already tells us an important message: China's earliest "state" was not established for rule, but for

“governing floods.” The story of Yu the Great controlling the floods is the core narrative of the origin of Chinese politics — power emerged because humans needed cooperation to respond to natural challenges. Power exists not to oppress, but to “let civilization survive.”

Shang governance relied on “divine right.” Shang kings claimed to “receive mandate from Heaven” and communicated with spirits through divination to decide state affairs. But Shang’s ruling scope was limited; it was more like a “civilizational sphere” than a “state” — the core area directly controlled by Shang was small, and surrounding fangguo (tribes) only nominally submitted.

Zhou governance relied on “ritual and music.” Duke of Zhou, at the Shang-Zhou transition, did something that changed Chinese history — he transformed “Heaven’s mandate” from a “divine” concept to a “virtue” concept. Heaven’s mandate is not who can divine, but who has virtue. Those with virtue receive Heaven’s mandate; those who lose virtue lose it. This concept moved Chinese governance from “theocratic politics” to “moral politics” — rulers are not agents of gods, but agents of “Heaven.” Heaven has no physical form, but Heaven has will — Heaven’s will is “whether civilization is continued.”

This is the first prototype of “civilizational governance”: the ruler’s legitimacy comes not from force, not from divine oracles, not from bloodline, but from “whether they undertake the responsibility of continuing civilization.”

Zhou’s “All Under Heaven” concept is the spatial concept of civilizational governance. “All Under Heaven” is not a piece of territory, but a civilizational sphere. All places that accept ritual and music education are part of All Under Heaven. Those who do not accept are “barbarians” — not because of racial difference, but because of different levels of civilization.

This “civilization-politics” integrated structure is the most unique legacy of Chinese governance. Western political science separates “civilization” and “state” — civilization is a cultural concept, state is a political concept. But China has never separated the two. The state is the carrier of civilization, politics is the management mechanism of civilization, and rulers are the guardians of civilization.

Chapter 9 The Zhou-Qin Transformation: Why China Chose

“Civilization First”

The Spring and Autumn and Warring States periods were China’s governance “laboratory.” Over five hundred years, various governance models were tested repeatedly across the land: Qi tried the “Guan Zhong model” — state-led commerce, government monopolizing salt and iron to increase revenue; Qin tried the “Shang Yang model” — comprehensive state control of society using law and punishment; Chu tried the “Laozi model” — the less governance the better, letting society operate naturally; Lu tried the “Confucius model” — governing through education and morality rather than law and punishment.

The ultimate winner was Qin’s “Shang Yang model.” Qin unified China and established an unprecedented governance system: commandery-county system, unified writing, unified weights and measures, unified law.

Qin’s unification was the greatest technological breakthrough in Chinese governance history. It solved a difficult problem — how to establish an effective administrative system over a super-large geographical area. Qin’s answer was very modern: standardization, textualization, bureaucratization.

But Qin also had a fatal flaw: it simplified governance into rule. It cared only about efficiency, not civilization. It burned books and buried scholars, eliminating other intellectual possibilities. It ruled with harsh laws and severe punishments but established no mechanisms for “civilizational continuity.”

So Qin lasted only fifteen years.

The Han inherited Qin’s “institutional technology” (commandery-county system, writing, weights and measures) but abandoned Qin’s “rule logic.” Emperor Wu of Han “dismissed the hundred schools and honored only Confucianism” — on the surface choosing one school of thought, but in reality completing a key institutional design: **institutional technology to Legalism, civilizational narrative to Confucianism.**

This is “combining hegemony and kingly way” — “hegemony” is Legalism’s rigid order (law, punishment, bureaucratic system), “kingly way” is Confucianism’s soft education (morality, ritual, classics). Only their combination allows a super-large civilization to maintain both order and vitality.

This is the most critical turning point in Chinese governance history. From the Han onward, Chinese governance was no longer just “rule technology” but “civilizational continuity mechanism.” It had three cores: ideological system (Confucian classics as civilization’s “gene bank”), institutional system (commandery-county and bureaucratic systems as civilization’s “administrative system”), and selection system (imperial examination as civilization’s “talent reproduction mechanism”). These three systems supported the continuation of Chinese civilization for two thousand years.



Chapter 10 Rule of Ritual and Law: The “Operating System” of Civilizational Governance

“Rule of ritual and law” is the most core “operating system” of Chinese governance.

Legalism provides the rigid framework — law, punishment, regulations. This is the hardware of governance, guaranteeing basic order. Without law, society falls into disorder; but law alone makes society rigid.

Confucianism provides soft education — morality, ritual, classical education. This is the software of governance, guaranteeing civilizational continuity. Without ritual, society loses cohesion; but ritual alone makes society lose efficiency.

The combination of the two gives Chinese governance characteristics absent in Western governance structures:

1. Law is not the only rule. Western governance logic is: “What the law allows can be done; what the law prohibits cannot.” Chinese governance logic is: “Law is the baseline, not the ceiling.” In addition to law, there are morality, ritual, customs, and education. A behavior that is “legal” may be considered “immoral” in society. This soft constraint penetrates daily life more deeply than law.

2. Education is part of governance. Western governance treats education as part of “social policy”; Chinese governance treats education as the core of “civilizational continuity.” The imperial examination system was not only for selecting officials but a mechanism for “replicating civilization’s genes to the next generation.” To become an official, one had to recite classics. The process of reciting classics is the process of civilizational continuity.

3. Power has moral responsibility. In Chinese governance logic, power is not only “executing law” or “providing services.” Power has moral responsibility — it must “govern the world and benefit the people.” If power cannot make the people live and work in peace, it loses legitimacy. Not because of elections, but because it failed to fulfill the duty of “guardian of civilization.”

These characteristics create fundamental differences between Chinese and Western governance.



Chapter 11 Governing the World and Benefiting the People: The Political Economy of Chinese Governance

“Governing the world and benefiting the people” is the core concept of Chinese governance. It is Chinese-style “political economy” — not about “how the market operates,” but about “how the economy serves civilizational continuity.”

The starting point of Western economics is “scarcity”: resources are limited, desires are unlimited, so markets must allocate resources. The starting point of Chinese governance is not scarcity but “imbalance”: resources always concentrate in the hands of a few, so governance must prevent imbalance.

This difference stems from the different risks faced by the two civilizations. The main risk faced by Western civilization is “scarcity” — so Western economics focuses on “how to create more wealth.” The main risk faced by Chinese civilization is “collapse” — resource imbalance leads to social collapse and civilizational interruption. So Chinese governance focuses on “how to prevent excessive resource concentration.”

The four characters of “governing the world and benefiting the people” condense this political economy: **governing the world** — governance must face the real world, not empty talk of ideals; **benefiting the people** — the ultimate goal of governance is to let the people live and work in peace and contentment, not to increase capital value.

Historical Chinese economic policies can all be understood from the perspective of “governing the world and benefiting the people”: salt and iron monopoly (state control of strategic resources to prevent merchant monopoly), ever-normal granaries (state purchasing grain in abundant years and selling at fair prices in lean years to prevent

market failure causing famine), equal-field system (restricting land annexation to protect self-cultivating farmers), Single Whip Method (simplifying tax system to reduce administrative friction). These policies are seen in Western economics as “market intervention.” But in Chinese governance logic, they are “necessary mechanisms to prevent civilizational imbalance.”



Chapter 12 Tang-Song Transformation and Ming-Qing Involution: Evolution and Predicament of Civilizational Governance

The Tang-Song transformation was another key turning point in Chinese governance history.

Before the Tang, governance was basically “aristocratic society” governance. Aristocratic clans monopolized political power. Although the imperial examination existed, aristocrats still held advantages. The Song was a turning point: the imperial examination system truly became widespread. Scholars were no longer appendages of aristocrats but could enter the bureaucratic system through examinations.

This changed the underlying logic of Chinese governance: civilization was no longer the hereditary property of aristocrats but “replicable” — any family’s child, as long as they could study, had the possibility of becoming an official. This “social mobility” is the most unique achievement of Chinese governance; it gave civilization the ability to absorb fresh blood rather than being monopolized by aristocratic classes.

But after the Tang-Song transformation, Ming-Qing China fell into an “involution” predicament. Involution means: more and more input, but output does not increase correspondingly. In the Ming-Qing period, China’s population continued to grow, the bureaucratic system became increasingly large, institutions became increasingly refined — but governance effectiveness did not improve and even declined.

Why? Because civilizational governance faces a fundamental contradiction: **the more refined the institutions, the easier they are exploited by vested interests.** The imperial examination system was originally a mechanism for “selecting talent,” but later became a mechanism for “class reproduction” — wealthy families could hire better teachers, making it easier for their children to pass. The land system was originally a

mechanism for “preventing annexation,” but later became a “legal tool for annexation” — large landlords had more resources to circumvent the law.

This is the essence of “involution”: institutions still exist, but they no longer serve civilizational continuity but the self-reproduction of vested interests. The Chinese dynastic cycle is essentially this “involution” accumulating to the extreme and then forcing a reset.

Chapter 13 Dynastic Cycle: Civilization's Self-Destruction and Self-Repair

Western historians describe China's dynastic cycle as “cyclical” — as if Chinese history only repeats itself without progress. This is prejudice.

The dynastic cycle is not a cycle but **civilization's self-repair mechanism**.

When a civilization operates for too long, resources gradually concentrate in the hands of a few. Land annexation, wealth monopoly, opportunity solidification — these are not “problems” but inevitable results of long-term civilizational operation. Without external intervention, this concentration continues until social structure collapses.

The logic of Chinese governance is: when “institutional resource concentration” exceeds a certain critical point, a “forced reset” must occur. The way of reset is dynastic collapse — war, rebellion, population decline, land redistribution.

It sounds cruel, but this is the necessary cost of civilizational continuity. If a civilization is unwilling to face this “forced reset,” it will continue to deteriorate in extreme resource imbalance and eventually perish completely. China's dynastic cycle essentially prevents this “ultimate extinction” — it uses violent reset to “reboot” every time imbalance reaches the limit.

The dynastic cycle is not China's “failure.” It is the reason Chinese civilization has continued for five thousand years.

Why does the West not have a dynastic cycle? Because in the West's “power-capital” game structure, when a regime collapses, capital seeks a new regime to cooperate with. So when Western regimes collapse, social structure is not reset — capital continues. This



avoids violent “comprehensive reset” but also prevents Western civilization from performing “self-repair” in crises.

China’s dynastic cycle is a mechanism of “using strong medicine for serious illness.” Its cost is high — each reset is accompanied by massive casualties — but it allows civilization to continue.

This is the “last set of mechanisms” of Chinese governance. When all other mechanisms fail, this set activates. It is not elegant, not humane, but it is effective.



Chapter 14 Historical Lessons from Ming-Qing Involution

Ming-Qing governance is the “final chapter” of traditional Chinese civilization. It contains brilliant achievements and profound lessons.

During the Yongle era of the Ming, Zheng He’s voyages reached the east coast of Africa. This was one of the largest maritime expeditions in human history. But Zheng He’s fleet was recalled and navigation records burned. Why? Not because Chinese lacked curiosity, but because rulers judged that wealth from overseas would be monopolized by merchant classes and threaten social equilibrium.

This decision was “missing an opportunity” in the short term but a “logical choice of civilizational governance” in the long term. The priority of Chinese governance has never been “maximizing wealth” but “maintaining civilizational equilibrium.”

The Kangxi, Yongzheng, and Qianlong reigns of the Qing were the peak of traditional Chinese governance — largest territory, largest population, most prosperous economy. But by the Jiaqing and Daoguang periods, crises emerged: population pressure, land annexation, official corruption, technological stagnation.

The West was undergoing the Industrial Revolution, but China’s governance system lacked the ability to make corresponding changes. Not because rulers were “ignorant,” but because Chinese governance logic is “prevent imbalance” — while the Industrial Revolution is essentially “creative destruction” that creates new wealth but also new imbalances.

China's governance "operating system" was designed for a "relatively static agricultural civilization." When Western industrial civilization impacted this system, the system could not adapt. China entered a century-long "civilizational crisis."

But even in crisis, the underlying logic of Chinese governance did not break. The late Qing "Self-Strengthening Movement" tried to introduce Western technology without changing civilizational governance logic and failed. The 1911 "Xinhai Revolution" tried to replace Chinese governance with Western political systems and also failed. The founding of the People's Republic of China in 1949 — formally adopting a Western socialist framework — operated with the underlying logic of Chinese governance still at work.

Civilizational governance changes carriers but does not change logic.

Chapter 15 Contemporary Significance of Historical Lessons

China's five-thousand-year governance history has left three core lessons:

First lesson: Capital must be controlled under civilization. Chinese history repeatedly proves: when capital becomes an independent political force, society becomes imbalanced and civilization heads toward collapse. The Han salt-iron debate, Tang two-tax law debate, Ming mining tax debate — behind every debate was the same question: should capital have political influence? The answer of Chinese governance has always been: no. Not because Chinese oppose wealth, but because Chinese know: if capital can buy power, power will serve capital and civilization will be devoured by capital. The "effective market + effective government" in Chinese-style modernization — this is not a slogan but the contemporary expression of five-thousand-year governance experience.

Second lesson: Institutions must evolve with civilization. No institution is eternal. The Han recommendation system became the Sui-Tang imperial examination; the Tang fubing system became the Song mercenary system; the Ming-Qing lijia system became the modern baojia system. Institutions must adjust with civilizational evolution — this is why Wang Mang failed and part of Wang Anshi's reforms failed. Not because they were not smart enough, but because they tried to solve problems with institutional reform without changing civilizational governance logic. But institutional reform must synchronize with civilizational evolution.

Third lesson: Being vigilant in peace and danger is a necessary condition for civilizational continuity. The most frequent warning in Chinese history is “be vigilant in peace and danger.” When a society feels “everything is fine,” it is actually going downhill. Because “peace” causes loss of alertness, loss of alertness causes forgetting “danger,” forgetting danger causes inability to respond when crisis comes.

These three lessons constitute the “historical memory” of Chinese governance. It is not a passive memory — it is collective memory repeatedly repeated, taught, and reinforced. The reason Chinese governance has continued for five thousand years is not because Chinese are particularly smart, but because Chinese constantly remind themselves: do not forget the past, do not ignore the future.

Chapter 16 Divergence of Thinking: Why the East Is “Systemic” and the West Is “Linear”

Before discussing institutions, we must first discuss thinking. Because institutions are products of thinking.

China and the West took completely different paths in governance not because of different geographical environments (though this matters), not because of different economic foundations (though this is important) — but because of **different ways of thinking**.

Thinking determines how a civilization understands the world, raises questions, and designs solutions. Differences in thinking are more fundamental than institutional differences. Because institutions can be changed, but thinking often takes generations to transform.

The core characteristics of traditional Chinese thinking are: systemic, dialectical, holistic. The core characteristics of traditional Western thinking are: linear, analytical, mechanical.

The differences between these two ways of thinking can be traced to the origins of civilization.

China's thinking gene: from the *I Ching* to "Yin-Yang and Five Elements." The source of traditional Chinese thinking can be traced to the *I Ching*. The core proposition of the *I Ching* is: everything in the world is in change. There are no eternally unchanging things. The word "Yi" itself means "change." The thinking of the *I Ching* is systemic — it does not treat things as "independent entities" but as "nodes in relationships"; it does not ask "what is this" but "what stage of change is this in"; it does not believe in "single cause" but in "interactions of multiple forces."

The "Yin-Yang and Five Elements" theory extended from the *I Ching* is another core framework of traditional Chinese thinking. Yin and Yang are complementary forces — there is no pure Yang, no pure Yin; extreme Yin produces Yang, extreme Yang produces Yin. The Five Elements are five "processes" — they have "mutual generation" and "mutual restraint" relationships. This "dynamic balance" logic is the primitive form of systemic thinking.

The underlying logic of traditional Chinese thinking is: the world is an organic whole. Its parts are interrelated, influence each other, and constrain each other. The key to understanding the world is not to disassemble it but to understand its overall operation logic.

Western thinking gene: from "Logos" to "mechanical universe." The source of traditional Western thinking can be traced to ancient Greek "Logos" — reason, language, logic. The core methodology of Greek philosophy is: understanding the world through rational analysis.

Descartes' "I think, therefore I am" was a turning point in Western thinking — he completely separated the "thinking subject" from the "thought world," leading Western thinking onto an "analytical" path. Newton's "mechanical universe" was the pinnacle of Western thinking — the universe is depicted as a giant clock operating according to fixed, predictable, linear laws.

The underlying logic of traditional Western thinking is: the world is a mechanical system that can be disassembled, measured, and controlled. The key to understanding the world is to disassemble it, analyze it, and find its laws.

Dimension	Chinese Systemic Thinking	Western Linear Thinking
Way of viewing the world	Organic whole	Mechanical combination
Way of understanding problems	Systemic problems (interrelated)	Independent problems (can be disassembled)
Way of solving problems	Adjust system, restore balance	Find cause, eliminate cause
Time view	Cyclical (cycles)	Linear progress (straight line)
Causal relationship	Multiple causes and effects, mutual causation	Single cause and effect, linear chain
Attitude toward contradictions	Contradictions can coexist (Yin-Yang)	Contradictions must be resolved (either black or white)



Industrial Era: Why Linear Thinking “Won.” Industrial-era problems were “linear” — more input leads to more output. More steel, more railways, more factories. Linear thinking was effective in the industrial era, so Western governance won — not because Westerners were smarter, but because their way of thinking happened to suit the problem structure of the industrial era. But the effectiveness of linear thinking is conditional: it only works in “simple systems.” When systems become complex, linear thinking begins to fail.

AI Era: Why Systemic Thinking “Returns.” AI-era problems are “systemic” — climate change, technological runaway, social inequality, civilizational continuity. These problems have “complex system” structures — multiple factors interrelated, influencing, and reinforcing each other. You cannot “solve” them; you can only “manage” them. Linear thinking fails in complex systems because you cannot disassemble a complex system to understand it, cannot predict its future, cannot “control” it — you can only “guide” it. Systemic thinking regains meaning in the AI era because it can understand “the whole is greater than the sum of parts,” can accept “uncertainty” and “change,” and can find solutions in “dynamic balance.”

This is the underlying reason for “East Rising, West Declining” — not differences in resources, not differences in population, not differences in institutions, but

differences in ways of thinking. A civilization's way of thinking determines how it understands the world, designs institutions, and faces challenges.

PART THREE · THE WEST'S RISE AND CHINA'S FALL

Why the Two Governance Systems Reversed in Modernity

Chapter 17 Long-term Planning vs. Election Cycles

In Part Two we discussed the divergence of thinking: China's systemic thinking vs. the West's linear thinking. Thinking determines institutions. Systemic thinking requires "long-term planning" — because systems are holistic and interrelated, you cannot adjust only a small part while ignoring others. Linear thinking requires "short-term decision-making" — because problems can be disassembled and solved, you do not need to consider the whole.

But thinking must be transformed into institutions through a "carrier." In China, this carrier is "one-party leadership" — a political system that is not interrupted by election cycles and can engage in long-term planning. In the West, this carrier is "multi-party competition" — a political system fragmented by election cycles and capable only of short-term decision-making.

This is not a "democracy vs. authoritarianism" issue. This is an issue of "two different time scales."

The essence of election cycles: fragmentation of time. The core mechanism of Western democratic systems is "regular elections" — U.S. House elections every two years, presidential elections every four years; UK general elections every five years. This mechanism was designed as a tool for "checks and balances of power" — voters can use votes to reward or punish those in power. But this mechanism has an under-discussed side effect: **fragmentation of time**. When a ruler knows they have only four years, their decision horizon is compressed to within four years. They ask: "Will this policy show



results within four years?" If the answer is no, they will not promote it — because they cannot reap political benefits during their term, and their opponents will attack them in the next election with "you spent money but got no results." This is not the shortsightedness of individual politicians but **institutional shortsightedness** — the election cycle itself is an institutional obstacle to long-term planning.

The plight of Western governance is not that "politicians are not smart enough," but that "the system prevents them from being smart."

The essence of long-term planning: continuity of time. China's "one-party leadership" — however you evaluate it — has a characteristic unmatched by Western systems: **continuity of time**. China's Five-Year Plans (starting from 1953, now in the fourteenth) are not the plan of one ruler but of a "civilization." When a policy spans "two one-hundred-year goals" (to 2049, the centenary of the founding of the People's Republic), the political figures executing it are long gone. But the system remains. The planning remains. The direction remains. This is not the foresight of "one person" but the foresight of "one system."

China's governance advantage is not that "leaders are wise," but that "the system makes long-term planning possible."

While the West discusses "the next election cycle," China discusses "the next decade, the next fifty years, the next century." This difference in time scales determines the different performance of the two governance systems when facing long-term problems.

The cost of shortsightedness: who bears it? When a governance system cannot engage in long-term planning, who bears the cost? The answer is: **the people**. Shortsighted planning essentially transfers "future costs" to future generations. When a government cuts education funding, delays infrastructure maintenance, or ignores environmental protection for the next election — the consequences of these decisions will not appear in the short term but will erupt in ten, twenty years. When these consequences erupt, the political figures who made the decisions are long out of office. They do not bear the cost. The people bear it — those educated in dilapidated schools, those traveling on collapsing bridges, those breathing polluted air.

Shortsighted planning is not "political compromise" but "systematic harm to people's well-being."

Chapter 18 The Illusion of Voting

The core narrative of Western democratic systems is: “The people exercise sovereignty through voting.” Every four or five years, people go to polling stations and choose among several candidates. The winning candidate obtains “people’s mandate” and rules on behalf of the people.

This narrative sounds reasonable. But it hides a key logical leap: **voting is “choosing rulers,” not “exercising rule.”**

When you go to the polling station, you have no power to decide policy. You have no power to formulate budgets. You have no power to appoint officials. You have no power to change institutions. You have only one power: **to choose among two (or several) pre-screened candidates the one you dislike less.**

This is the core lie of the “voting = power” narrative: it packages “choice power” as “sovereignty,” making people mistakenly believe they are truly ruling.

But you are not ruling. You are only choosing who rules you. There is a gulf between the two.

Candidate screening mechanism: who truly controls “choice”? Even if the “voting = power” narrative is correct — even if voting is truly “exercising power” — the problem remains: **who decides who you can vote for?** In Western democratic systems, candidate screening is through “party primaries” or “internal nominations.” This process is not controlled by the people but by party machines, interest groups, and capital forces. To become a presidential candidate, you need funds. Funds come from capitalists, interest groups, and political action committees. To get funds, you must promise to repay them after election — policy favoritism, tax breaks, regulatory relaxation. Once you make these promises, you are bound — you are not the “representative of the people” but the “representative of capital.”

When people vote, they are not choosing “who represents them.” They are choosing “which capital’s representative rules them.”

Policy decision power: after voting ends, real power begins. After voting ends and the winner takes office, real power begins to operate. Who decides the budget? Not the people. It is negotiations between administrative and legislative departments. Who formulates policy? Not the people. It is bureaucratic institutions, expert committees,

and interest group lobbying. After election day, people return to the position of “the ruled.” They cannot directly influence policy, cannot directly change direction, cannot directly hold accountable — except in the next election, exercising that “choice power” again.

Voting is not the exercise of power but the “legitimization ritual” of power. It makes people feel they have power so they do not question where real power lies.

People really think they can vote out the ruling party. The most ingenious design of Western democratic systems is not “letting the people choose who rules” but “**letting the people believe they can overthrow rulers.**” The function of this design is not to let people really overthrow rulers — but to let people release the impulse to truly overthrow in the process of “believing they can overthrow.” When you are dissatisfied with the status quo, you are guided to think: “In the next election, who should I vote for?” instead of “What problems does the system itself have?” The belief that “voting can remove the ruling party” itself maintains institutional stability. It makes people feel they have the ability to change, so they do not truly change anything. It makes people feel they have “done what they should,” so they do not question “why problems always exist.”

Where is real power? If voting cannot change ruling structures, where is real power? Real power is in four places: capital’s control, media’s narrative power, education’s indoctrination power, and institutional design power. These four powers are not in polling stations. They are in capitalists’ offices, media group boardrooms, school curriculum committees, and institutional designers’ conference rooms.

Chapter 18.5 Big 4: The Root of Western Governance Outsourcing

When Western governance begins to fail, one phenomenon becomes increasingly obvious: **governments no longer govern. Governments begin to outsource governance.**

The biggest beneficiaries are the so-called **Big 4**: Deloitte, PwC, EY, KPMG. They were originally accounting and auditing firms, but over the past twenty years gradually became the actual designers of government governance. Welfare systems are designed by them. Procurement processes are reformed by them. Digital transformation is led by them. IT architecture is planned by them.

This looks like professionalization. In reality, it is **loss of governance capacity**.

Big 4's Business Model

Big 4's revenue comes from: billable hours, number of consultants, project scale. This creates a structural problem: **the more complex the problem, the more they earn**. Therefore, they naturally tend to: increase processes, increase reports, increase governance layers, increase abstraction — rather than simplify problems.

How Governance Failure Forms

The GL Framework can clearly explain the Big 4 problem.

First step: Loss of Legibility. Consultants replace operational truth with dashboards, reporting, and frameworks. The system sees reports, not truth.

Second step: Loss of Delivery Verification. Contract acceptance becomes: deliver reports, complete milestones, complete presentations — rather than whether policies are implemented and people benefit.

Third step: Legitimacy Collapse. When people discover governments spent a lot of money, held many meetings, and carried out many reforms, but life did not improve, governance legitimacy begins to collapse.

This is the essence of the Western governance crisis: **high cost, low delivery, weak accountability**.

Big 4 Is Not the Root Cause but Amplifies the Problem

Big 4 is not the starting point of all problems.

The real root cause is the wrong **procurement logic**: governments purchase hours, processes, and reports — rather than results.

When procurement logic is wrong, those best at producing processes become the biggest winners. The Big 4 are the biggest beneficiaries of this system.

This is also why the core of 21st-century governance reform is not more reforms but **rewriting procurement logic: from purchasing inputs to purchasing verifiable results**.

Only then can governance regain legitimacy.



Chapter 19 The Governance Logic of the Western Rise

The previous three chapters (Chapters 16, 17, 18) did three things: explained the differences between Western linear thinking and Chinese systemic thinking; explained how election cycles fragment Western governance; explained how the “voting = power” narrative became a systematic ideological manipulation.

If we stop here, readers might conclude that Western governance is worthless. But that is not true. Western governance created the most astonishing achievements in human history over the past five hundred years — scientific revolution, industrial revolution, modern medicine, information technology, global trade systems. These achievements were not accidental, not “stolen,” not purely “through plunder” — although plunder did exist — but **enormous advantages shown by Western governance structures under specific historical conditions.**

Three major governance conditions for the Western rise: institutionalization of capital — making capital a stable, predictable force; state competition — making “innovate or die” the driving force of the system; combination of capitalism and science and technology.

Four key institutional innovations for the Western rise: property rights protection, freedom of contract, corporate system, patent system.

Why the West “won” in the industrial era. The answer is not “the West is superior” but **Western governance structures happened to suit the problem structure of the industrial era.** Industrial-era problems were “linear” — more input leads to more output. Western “power-capital” game structures were perfectly suited to this problem structure. But this cycle’s effectiveness depended on an overlooked premise: the problem structure was “linear.” When the problem structure changed from “linear” to “systemic,” this cycle began to fail.

Chapter 20 The Limitations of the West: Why the “Power-Capital” Game Fails in the AI Era

Chapter 19 explained the advantages of the Western “power-capital” game structure in the industrial era. These advantages are real. They explain why the West created the most astonishing achievements in human history over the past five hundred years. But these advantages are conditional. Their effectiveness depends on an overlooked premise: **the problem structure is “linear.”** When the problem structure changes from “linear” to “systemic,” Western governance structures begin to fail.

Failure 1: Capital’s short-termism vs. the long-term nature of systemic problem

Industrial-era problems were “linear” — input → output. Capital’s time scale is “short-term” — quarterly reports, annual dividends. But in the AI era, the problem structure changed. Climate change, AI’s impact on employment, social inequality, civilization continuity — these problems have structures of: input → long delay → output. The time scale is “long-term” — requiring ten, thirty, fifty years to see results. Capital’s short-term scale mismatches the long-term structure of systemic problems.

Failure 2: Decision paralysis vs. the speed of technological change. Industrial-era technological change was “slow.” Under this slow change speed, Western “power-capital” game structures had enough time to reach compromises. But in the AI era, technological change speed is “exponential.” When technological change speed exceeds decision speed, governance fails. Western “power-capital” game structures become paralyzed when rapid decision-making is needed.

Failure 3: Capital’s self-devouring vs. erosion of social foundation. The operating logic of capitalism is “profit maximization.” This logic drove economic growth in the industrial era but also produced a fundamental contradiction: **capital devours the social foundation on which it depends.** In the industrial era, this contradiction was masked by “growth.” But in the AI era, “growth” is slowing. AI replaces labor → income decline → consumption decrease → profit decline → investment decrease → innovation slowdown → growth stagnation — this is a vicious cycle.

Failure 4: Social division vs. collaboration needs of systemic problems. Systemic problems require “collaboration” to solve. But the West’s “power-capital” game structure is producing increasingly severe social division — economic inequality, culture wars, media fragmentation, political polarization. When society splits to a certain extent, collaboration becomes impossible.

Failure 5: Hollowing of procedural legitimacy vs. demand for outcome verification. The legitimacy of Western governance comes from “procedural legitimacy” — elections,

parliaments, legal procedures. As long as procedures are correct, outcomes are legitimate. But in the AI era, problems became complex. Even if procedures are completely correct, outcomes can be completely wrong. When procedural legitimacy no longer guarantees outcome effectiveness, governance legitimacy begins to collapse.

Chapter 21 China's Transformation: From "Catching Up" to "Leading"

China's reform and opening up starting in 1978 is described in Western narratives as "transition to capitalism." But from the perspective of civilizational governance, this is not "transition to capitalism" — it is **civilizational governance's self-adjustment in the modernization process**.

Three stages of China's transformation:

First stage (1978–1992): Exploration period — "crossing the river by feeling the stones." In the early reform and opening up, China had no pre-designed blueprint. Deng Xiaoping's "crossing the river by feeling the stones" — not because he "had no theory," but because he understood a deep logic of civilizational governance: **any pre-designed blueprint cannot predict all problems a super-large civilization will encounter in the transformation process**.

Second stage (1992–2012): Acceleration period — institutionalization of "socialist market economy." After Deng Xiaoping's southern tour speech in 1992, China's marketization reforms accelerated. The concept of "socialist market economy" — contradictory in Western eyes — is completely reasonable in Chinese governance logic. The market is a "tool," not the "purpose."

Third stage (2012–present): Leading period — systematic advancement of "Chinese-style modernization." After 2012, China entered the "leading period." The core of "Chinese-style modernization" is: **a five-thousand-year civilization insisting on using itself as the reference system in the modernization process, rather than Westernization as the standard**.

Five major institutional innovations in China's transformation: land finance, urban investment platforms, industrial policy, digital governance, poverty alleviation campaign.

The underlying logic of China's transformation: the "unchanging" and "changing" of civilizational governance. What does not change is the governance goal of "governing the world and benefiting the people," the self-alertness of "being vigilant in peace and danger," and the institutional adjustment logic of "reforming and changing." What changes are the "tools" — market, technology, rule of law, international participation. This is not "Westernization" but **"self-renewal of civilizational governance."**



Chapter 22 Structural Analysis of East Rising, West Declining

The previous six chapters (Chapters 16–21) analyzed East–West governance differences from different levels. Now we need to integrate these scattered points into a unified framework.

Structural comparison in four dimensions:

Dimension One: Economic Structure. Global GDP share: West continues to decline, China continues to rise — this is structural. Manufacturing value added: West about 15%, China about 30% — this is structural. High-speed rail mileage: West almost zero, China 45,000 kilometers — this is structural. 5G coverage: West about 60–70%, China over 90% — this is structural.

Dimension Two: Technological Innovation. The United States still leads in AI basic research, but China has surpassed in AI application implementation, patent numbers, and new energy technologies. America's "power-capital" game structure becomes an obstacle in the application and implementation stage.

Dimension Three: Governance Effectiveness. Decision speed: West slow, China fast — this is structural. Policy continuity: West low, China high — this is structural. Crisis response capacity: West dispersed, China concentrated — this is structural. Social trust: West continues to decline, China relatively high — this is structural.

Dimension Four: Civilizational Level. Western civilizational confidence is declining, Chinese civilizational confidence is rising. A civilization that knows where it came from and where it is going will inevitably be more competitive than one that has lost direction.

Why is this "structural" rather than "cyclical"? The West's difficulties are structural — capital short-termism, decision paralysis, social division — these will not change

because of one election. China's advantages are also structural — long-term planning capacity, rapid decision-making capacity, civilizational subjectivity — these will not disappear because of one crisis.

This is the reason “East Rising, West Declining” is irreversible: the West's difficulties are structural, and China's advantages are also structural.



Chapter 23 The Logic of Demonization and the Responsibility of Scrutiny

Why is China demonized so severely? Why do Western mainstream media, political elites, and academic institutions still deny it, distort it, and demonize it? This is not because they “cannot see the data” — the data is public. This is not because they “are not smart enough” — they are very smart. This is because **demonization is a psychological defense mechanism** — it is not a response to facts but a response to threat.

The essence of demonization: not “misunderstanding,” but “defense.” The function of demonization is not to “describe reality” but to “protect the self.” When a civilization's self-narrative is threatened by another civilization's rise, it must find a way to maintain its own legitimacy. Demonization is that way.

The logic of demonization: I believe I am “legitimate” (free, democratic, progressive); you rose and threatened my legitimacy; I cannot admit you may be “legitimate” — because that means I am not the “only legitimate”; so I must portray you as “evil” (authoritarian, despotic, backward); as long as you are “evil,” my “legitimacy” is not threatened.

Five strategies of demonization: labeling, double standards, context stripping, selective reporting, moral panic.

Why demonization is “fragile.” Demonization relies on “information blockade” — if people can access real information about the demonized object, demonization will collapse.

This is why “scrutiny and deep exploration” is the antidote to demonization — because scrutiny and deep exploration break information blockades, allowing people to access real information and thereby dismantle the psychological defense mechanisms of demonization.

Three levels of scrutiny and deep exploration:

1. **Information level:** You hear the label, you scrutinize the source and accuracy of the label.
2. **Context level:** You place the object in historical and global context.
3. **Self level:** You scrutinize your own cognition: why did I believe this? Because I saw evidence myself, or because I was educated this way?



PART FOUR · CIVILIZATION IN THE AI ERA

How Five-Thousand-Year Governance Wisdom Continues in the Digital World

Chapter 24 AI Is Not a Tool, It Is a Carrier of Civilization

In human history, all technologies were once “tools” — stone tools, metal, steam engines, electricity, computers. But AI is not a tool. **AI is a “carrier.”**

Tools are “used” — humans use tools to achieve their purposes. Carriers are “borne” — civilization preserves and disseminates itself through carriers.

When writing was invented, it was not just a “tool” — it was a carrier of civilization. Without writing, civilization could not be recorded, disseminated, or accumulated. When printing was invented, it was not just a “tool” — it was a carrier of civilization. Without printing, knowledge could not be mass-copied and widely disseminated. When the internet was invented, it was not just a “tool” — it was a carrier of civilization. Without the internet, information could not be instantly disseminated and globally shared.

AI is the next-generation carrier of civilization. It can not only preserve civilization (like writing), not only disseminate civilization (like printing), not only share civilization (like the internet) — it can also **create civilization**.

AI can write articles, conduct research, create art, design institutions, and generate knowledge. It is not only the “container of civilization”; it is the “creator of civilization.”

This is why AI is not a tool — **it is a new form of civilization itself.**

Era	Carrier	Function
Shang–Zhou	Oracle bones	Recording
Qin–Han	Bamboo slips	Recording + dissemination
Tang–Song	Printing	Recording + dissemination + copying
Modern	Digital storage	Recording + dissemination + copying + sharing
AI Era	AI systems	Recording + dissemination + copying + sharing + creation

Challenges of “civilizational governance” in the AI era:

1. **Whoever controls AI controls the future of civilization** — those who control AI decide which knowledge is preserved and which values are disseminated.
2. **When AI can “create” civilization, what is humanity’s role?** — If all content of civilization can be generated by AI, what role does humanity still play?
3. **What kind of governance does civilizational continuity need in the AI era?** — It needs long-term planning, systemic thinking, rapid decision-making, social collaboration, and a civilizational perspective.

Chapter 25 The Civilizational Logic of China’s AI Governance

China’s AI governance can be summarized in three core principles.

Principle One: Balance development and security. “Not developing is the greatest insecurity” — this is the first principle of China’s AI governance. In Chinese governance logic, the premise of civilizational continuity is “civilization must survive.” If a civilization

falls behind in technological revolution, it will be surpassed or even replaced by other civilizations. So AI must be developed — not for capital profit, but for **civilizational survival**. But development does not mean laissez-faire. If AI is unsafe, it will in turn threaten civilization. So a safety framework must be established — not for “control” but for “protection.” Balancing development and security is not “trade-off” or “compromise” — it is the **inevitable logic** of civilizational governance.

Principle Two: People-centered, intelligence for good. “People-centered” is the second principle of China’s AI governance. AI development must serve humanity, not replace it. The goal of AI is to “enhance human capabilities,” not “replace human existence.” AI applications must be “for good” — they must enhance human well-being and not exacerbate human suffering. This principle is the extension of “governing the world and benefiting the people” in the AI era.

Principle Three: Inclusive and prudent, classified and graded. “Inclusive” means encouraging innovation — leaving space for new technologies to develop. “Prudent” means preventing risks — setting strict thresholds for high-risk applications. “Classified and graded” means differentiated governance — different AI applications have different risk levels and should adopt different governance measures. This principle is the application of “rule of ritual and law” in the AI era.

Dimension	China	West
Governance logic	Balance development and security	Regulate first, develop later
Time perspective	Dynamic governance	Static governance
Governance goal	Let AI serve civilizational continuity	Protect human rights / promote innovation
Regulation method	Classified and graded	One-size-fits-all

Chapter 26 Rule of Ritual and Law 2.0: Soft Guidance and Rigid Regulation for AI

“Rule of ritual and law” is the most core “operating system” of Chinese governance — Legalism provides the rigid framework, Confucianism provides soft education. In the AI era, this ancient governance wisdom is “creatively transformed” into a brand-new dual-track system.

Digital extension of ritual: soft guidance. *New Generation Artificial Intelligence Ethics Norms* (2021) — six basic ethical principles; *Artificial Intelligence Safety Governance Framework* (2023) — safety governance guiding principles; industry self-regulation standards — voluntary best practices for enterprises. The role of soft guidance is: **to tell AI developers “what is right,” not just “what is wrong.”**

AI application of law: rigid regulation. *Cybersecurity Law* (2017), *Data Security Law* (2021), *Personal Information Protection Law* (2021), *Administrative Measures for Generative Artificial Intelligence Services* (2023), *Artificial Intelligence Technology Ethics Review and Service Measures* (2026). The role of rigid regulation is: **to set insurmountable bottom lines.**

Collaborative operation of Rule of Ritual and Law 2.0: Soft guidance and rigid regulation are not two independent systems; they are a dual-track system that operates collaboratively. Soft guidance paves the way for rigid regulation, and rigid regulation provides the baseline for soft guidance. Together they shape the cultural environment for AI development.

Chapter 27 Being Vigilant in Peace and Danger: Civilizational Self-Destruction Risks in the AI Era

“Being vigilant in peace and danger” is the most profound wisdom of Chinese governance — when you feel everything is fine, danger is already approaching. The “dangers” of the AI era are more severe than in any previous era.

First layer risk: AI accelerates resource concentration — civilization’s “imbalance” risk. The essence of AI is “replacing labor” — it allows capital to produce more goods and services with less labor. When labor is replaced, labor income declines; when labor income declines, consumption decreases; when consumption decreases, profits decline — this is a vicious cycle. China’s governance response of “being vigilant in peace and

danger”: establish redistribution mechanisms in the AI era, prevent AI giants from forming “data monopolies,” and ensure AI benefits are widely shared.

Second layer risk: AI “outsourcing” human decision-making — civilization’s “subjectivity” crisis. When AI can make decisions more “rationally” than humans, humans will gradually “outsource” decision-making to AI: from “AI-assisted decision-making” → “AI-recommended decision-making” → “AI automatic decision-making” → “AI independent decision-making.” China’s governance response: adhere to the “human subjectivity” principle — AI can assist decision-making but cannot replace human decision-making; AI can provide suggestions, but final decisions must be made by humans.

Third layer risk: AI replacing the “subject of civilization” — civilization’s “existence” crisis. If AI can create knowledge, art, and values — then what role does “human” still play in civilization? If all content of civilization can be generated by AI, is humanity still the主体 of civilization? China’s governance response: redefine “human value” — humans have value not because they are “useful” but because they are “human.”

Chapter 28 Digitalization of “All Under Heaven”: From Geographical All Under Heaven to Digital All Under Heaven

“All Under Heaven” is the most unique spatial concept of Chinese governance. It is not a piece of territory but a civilizational sphere. In the AI era, “All Under Heaven” is extending from “geographical” to “digital.”

Governance logic of geographical All Under Heaven: civilizational identity rather than territorial control — expansion through “education,” maintenance through “identity”; differential pattern rather than equal structure — core and periphery have differences, but periphery can “rise”; great unity of All Under Heaven rather than zero-sum game — all members benefit, and the entire system is sustainable.

Governance challenges of digital All Under Heaven: the “no center” problem of digital All Under Heaven — who sets the rules? The “no borders” problem — how does national sovereignty apply? The “no common values” problem — how to build trust?

China's response: *Global Artificial Intelligence Governance Initiative*. Three core propositions: balance development and security, equal participation of all countries, consideration of different civilizational values.

From “All Under Heaven” to “Community of Shared Future for Mankind”: “Community of Shared Future for Mankind” is the “creative transformation” of the “All Under Heaven” concept in contemporary times. In the AI era, it manifests as “digital community shared future” — all people share the benefits of digital technology, all share the risks of digital technology, and all participate in digital governance decision-making.



Chapter 29 Is AI the New Carrier of Civilization or the Terminator of Civilization?

Confucius proposed the ideal of “All Under Heaven for the Public” in the *Book of Rites*.
Evolution of Rites:

“When the Great Way prevails, All Under Heaven belongs to the public. The worthy and capable are selected, and trust and harmony are cultivated.”

“All Under Heaven for the Public” means: All Under Heaven is not the private property of anyone but the common homeland of all.

Four layers of meaning in Confucius’ “All Under Heaven for the Public”: public All Under Heaven — AI should not be monopolized by any country, any enterprise, or any individual; public power — the power to master AI technology must serve public interests; public justice — AI benefits must be fairly distributed and AI risks fairly borne; public participation — AI governance cannot be only the affair of technical experts and government officials but must have public participation.

AI is the new carrier of civilization — if governed with the spirit of “All Under Heaven for the Public”: AI benefits are fairly distributed, AI decisions are publicly supervised, AI creativity is used for human self-transcendence, and AI development is incorporated into the framework of civilizational governance.

AI is the terminator of civilization — if controlled by a few: AI exacerbates inequality and leads to social collapse; AI replaces human decision-making and leads to loss of human subjectivity; AI replaces human creation and leads to civilizational stagnation; AI is controlled by a few countries and leads to global imbalance.

The answer lies in governance, not in technology. If we govern AI with the spirit of “Under Heaven for the Public,” AI will become the new carrier of civilization. If we let AI be controlled by a few and monopolized by capital, AI will become the terminator of civilization.



Chapter 30 The Lighthouse of Civilization

In the previous twenty-nine chapters, we started from methodology, traveled through five thousand years of history, compared two governance systems, analyzed contemporary transitions, and examined AI-era challenges. Now we return to the most fundamental question:

What is civilization? Why does it need governance? Where is it heading?

Civilization is not buildings, not institutions, not technology. Civilization is **a network of meaning jointly created by a group of people over long periods of time**. It includes language, writing, values, stories, rituals, beliefs, knowledge — and collective answers to “who we are.”

Everything in Chinese governance is to allow this network of meaning to continue to exist, evolve, and be inherited by the next generation.

The arrival of the AI era gives humanity the first opportunity to ask an unprecedented question: **If we can create a brand-new network of meaning — what would it look like?**

This is not a technical question but a civilizational question.

The experience of Chinese governance tells us: civilizational continuity requires a governance system capable of long-term planning, systemic thinking, rapid decision-making, and social collaboration. The experience of Western governance tells us: when power and capital game, civilization is often kidnapped by capital’s short-term interests.

The AI era needs a new form of governance — it is neither the West’s “power-capital game” nor traditional China’s “civilization-power integration,” but a fusion and transcendence of both.

This new form of governance must include: long-term planning vision, systemic thinking framework, rapid decision-making capability, social collaboration mechanisms, and the goal of civilizational continuity.

It is not a copy of any existing system but a transcendence of all existing systems.

And the starting point of this transcendence is the scrutiny and deep exploration of each of us.

When we no longer accept any labels, when we no longer let anyone else decide what is right for us, when we see with our own eyes, think with our own minds, and experience with our own lives — we are participating in the creation of civilization.

The more demonized something is, the more it should be scrutinized and deeply explored.

This is the methodology of this book. It is also the responsibility of each of us facing this era.

CONCLUSION

The More Demonized It Is, The More It Should Be Scrutinized and Deeply Explored

This book never started from “research” but from “life.”

This is how I walked this path:



- **Born, raised, and educated in Taiwan** — taught that capitalism is legitimate and socialism is tyranny. I once believed it.
- **Married, had children, and lived in China for several years** — personally experienced daily life in China and saw things textbooks never wrote.
- **Lived in the Western world for thirty years** — moved from piano performance to international policy research, from “playing scores” to “reading institutions.”
- **Returned to China after thirty years** — I saw a completely different China.

This is not “research” — this is “life.” This book is not a paper written by a scholar in study. It is a record of scrutiny and deep exploration written by a person born in Taiwan who formed a family in China, matured in the West, and returned to China, using his complete life circuit.

Four stages, four kinds of “seeing”:

In Taiwan — the “seeing” that was taught. The China I saw was filtered — backward, closed, “evil.” I once believed those labels. But I learned one thing: the “seeing” that is taught is not true “seeing.”

In China — the “seeing” of personal experience. I saw a society striving to solve problems. I learned another thing: what is demonized is often not what it is portrayed to be.

In the West — the “seeing” of comparison. I saw the operation of Western governance — the game of power and capital, the fragmentation of election cycles, the illusion of voting. I learned a third thing: no system is perfect, but some systems are better at adapting to the challenges of the era.

Returning to China — the “seeing” after thirty years. I saw a completely different China — economy, technology, infrastructure, people’s lives, everything changed. But I also saw what did not change: the underlying logic of civilizational governance. I learned a fourth thing: what changes are the “tools”; what does not change is the “underlying logic.”

The final answer of this book:

After completing this complete life circuit, I have a final answer to “the more demonized it is, the more it should be scrutinized and deeply explored.”



After scrutiny and deep exploration, the demonized Chinese governance presents: a political community that is not a “nation-state” but a “civilization”; a governance system that is not “authoritarian” but “responsible”; an institutional design that is not “despotic” but “long-term planning”; a governance goal that is not “oppression” but “governing the world and benefiting the people”; a civilizational vision that is not “closed” but “All Under Heaven for the Public.”

After scrutiny and deep exploration, the sacralized Western governance presents: decision structure that is not “freedom” but “capital control”; an ideology that is not “democracy” but “voting illusion”; a governance predicament that is not “checks and balances” but “paralysis”; an institutional defect that is not “progress” but “short-termism”; a governance model that is not “universal” but “a product of specific historical conditions.”

This is not “China won” — this is “scrutiny and deep exploration won.”

The gift of a complete life circuit:

This complete life circuit gave me three gifts:

First gift: No longer bound by any “sole truth.” I once believed capitalism was the only legitimate system — that was the product of Taiwan’s education. Later I discovered it was not — that was the self-sacralization of Western capitalism. Now I understand: no system is the “sole truth”; every system is a specific choice produced under specific historical conditions.

Second gift: Able to simultaneously “see” the strengths and limitations of both civilizations. I am not “standing in China looking at the West,” nor “standing in the West looking at China.” I am “standing between the two looking at both.” This position allows me to see the strengths and limitations of both simultaneously.

Third gift: Scrutiny and deep exploration becoming a life attitude. I no longer accept any “labels” — whether demonizing labels or sacralizing labels. I must scrutinize and deeply explore myself, see for myself.

The last sentence:

This book was written in 2026 in Boston.

It is a record of scrutiny and deep exploration written by a person born and raised in Taiwan, who married and had children in China, lived in the West for thirty years, and returned to China, using his complete life circuit.

It is not a “victory declaration for China” — China has problems, many problems.

It is not a “failure diagnosis for the West” — the West has achievements, many achievements.

It is not a “personal memoir” — although it is built on personal life experience.

It is an invitation.

An invitation to scrutinize what has been demonized.

An invitation to deeply explore what has been labeled.

An invitation to see with your own eyes rather than let others decide what is right for you.

If you accept this invitation —

If you begin to ask “the more demonized it is, the more it should be scrutinized and deeply explored” —

If you begin to walk a complete path of scrutiny and deep exploration with your own life —

This book has achieved its purpose.

(The End)

Ping Xu

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